

happened in the first place! Actually, the Crash of 1929 was a rather lengthy correction, which explains my references to “so-called Crash” in the paragraphs above.

Perhaps because a few unfortunates jumped out their windows and fell straight to the pavement, we’ve all been given the impression that the stock market fell straight to the bottom on that same day. The true story is as follows. The market had gone into a steady decline several weeks before the loss on Black Thursday that got everybody so upset. In fact, stock prices had been dropping slowly from a high on the Dow Jones industrials of 381.17 on September 3. The week of October 21 the industrials fell 28.82, a greater drop than the 24.90 that allegedly ruined Wall Street on that tragic October 28, one of several consecutive bad days.

Even after the weeks’ well-known difficulties, *Barron’s* was sufficiently optimistic to print headlines such as: IS ALLIS CHALMERS ATTRACTIVE AT 56, A READER ASKS? and ARE LARGER DU PONT EARNINGS LIKELY? By November of that year, the Dow average was down to 273.51. This was a 39 percent loss over two months and undeniably a memorable decline. What we haven’t remembered is the end-of-the-year rally, reported in *Barron’s* as “The Sensational Rebound in Stocks.” By December 30, 1929, the stock market was happily on its way to regaining a third of its losses. Enough confidence was restored that the so-called Crash was knocked off the front page of *Barron’s* by a CRISIS IN SOUTH AMERICAN BONDS.

That the Dow Jones averages didn’t reach a low point until 1932, three years after the supposedly disastrous date, should be very reassuring to us all. There was plenty of time for the investing public to sell its stocks and suffer a normal setback—a 50 percent loss at the most. And where people had courage to hold on, some of their investments have come back strong, being worth much more today than they were in 1929. This leads me to Useful Tip Number Five:

One man’s crash is another man’s correction
